

GRAHAM v CHANCE, et al.

23CV46928

DEFENDANT'S MOTION FOR LEAVE TO FILE CROSS-COMPLAINT

On September 11, 2023, Plaintiff Amber Graham ("Plaintiff") filed her complaint against Defendants Pure Aloha ("Aloha"), Steven J. Chance ("Chance"), and Sarah M. Barry ("Barry"). Plaintiff's complaint alleges various employment discrimination and harassment arising out of a physical assault that she alleges she suffered while an employee of Aloha.

Now before the Court is Defendants' motion for leave to file a cross-complaint and for costs/sanctions against Plaintiff. As set forth below, the motion for leave is granted but the motion for costs/sanctions is denied.

I. Factual and Procedural Background

In or around January 2022, Aloha hired Plaintiff as a sale associate and shortly thereafter promoted Plaintiff to manager. (Complaint ¶ 12.) Barry and Chance are allegedly the co-owners or directors of Aloha. (*Id.* ¶ 5.) In October 2022, Plaintiff was accused of using a derogatory term towards an African-American co-worker, which plaintiff denies. (*Id.* ¶ 14.) On October 17, 2022, Barry wrote Plaintiff up related to the allegations against her but refused to discuss the matter with Plaintiff. (*Id.* ¶ 15.) Plaintiff was not terminated but was instructed to leave the premises for the remainder of the day. (*Id.* ¶ 16.)

As Plaintiff was leaving work on that day as requested by Barry, she asked to retrieve some of her personal belongings from the back. (*Id.* ¶ 16.) Barry acquiesced and Plaintiff retrieved her personal notebook, her bag, and her personal houseplant. (*Id.* ¶ 16.) Barry then accused Plaintiff of taking a notebook that had information related to Aloha and attempted to block Plaintiff from leaving the premises. (*Id.* ¶ 17.) At this time, Chance (who is also Barry's boyfriend) placed Plaintiff in a chokehold and threw her to the ground. (*Id.* ¶ 18.) Plaintiff suffered significant injuries including a broken nose and a concussion. (*Id.* ¶ 20.) The next day, Plaintiff received a termination notice from Aloha signed by Barry citing the allegation of a racial slur and that Plaintiff had refused to take part in an investigation. (*Id.* ¶ 21.)

Plaintiff's complaint alleges causes of action for harassment, discrimination, retaliation, wrongful termination, and intentional infliction of emotional distress.

After their demurrer was overruled, Defendants filed an answer on January 25, 2024. Defendants thereafter filed a substitution of attorney on February 13, 2024, and then a second substitution with different counsel on February 23, 2024. On August 15, 2024, Defendants filed a third substitution of counsel, this time naming their current attorney as counsel.

Defendants now seek leave to file a cross-complaint on the grounds that their former attorney erred in failing to do so. They argue that the claims in the cross-complaint are related to the original action and that Plaintiff will not be prejudiced by allowing this amendment.

II. LEGAL STANDARD

Code of Civil Procedure section 428.10(a) provides that a party against whom a cause of action has been asserted may file a cross-complaint against the parties who filed a complaint against him. Code of Civil Procedure section 426.30(a) provides:

Except as otherwise provided by statute, if a party against whom a complaint has been filed and served fails to allege in a cross-complaint any related cause of action which (at the time of serving his answer to the complaint) he has against the plaintiff, such party may not thereafter in any other action assert against the plaintiff the related cause of action not pleaded.

Code of Civil Procedure section 426.50 provides:

A party who fails to plead a cause of action subject to the requirements of this article, whether through oversight, inadvertence, mistake, neglect, or other cause, may apply to the court for leave to amend his pleading, or to file a cross-complaint, to assert such cause at any time during the course of the action. The court, after notice to the adverse party, shall grant, upon such terms as may be just to the parties, leave to amend the pleading, or to file the cross-complaint, to assert such cause if the party who failed to plead the cause acted in good faith. This subdivision shall be liberally construed to avoid forfeiture of causes of action.

The cross-complaint must be filed before the time for an answer (Code Civ. Proc. § 428.50(a)) or any time before the court has set a date for trial. (*Id.*, subd (b).) Otherwise, the party seeking to file the cross-complaint must seek leave to do so. (*Id.*, subd (c).) Leave may be granted in the interest of justice at any time during the course of the action. (Code Civ. Proc., § 428.50.)

Cross-complaints may be either permissive or compulsory. (*Crocker Nat. Bank v. Emerald* (1990) 221 Cal.App.3d 852, 863–864.) “Permission to file a permissive cross-complaint is solely within the trial court’s discretion.” (*Id.* at 864 (citing *Orient Handel v. United States Fid. and Guar. Co.* (1987) 192 Cal.App.3d 684, 701).) However, cross-claims against complainants arising from the same transaction or series thereof, existing at the time of filing an answer, are compulsory. (See, e.g., Code Civ. Proc., §426.30(a).) Leave to file compulsory cross-complaints “shall” be granted where moving parties acted in good faith. (Code Civ. Proc., § 426.50.)

“[W]hat constitutes ‘good faith’-or lack of it-under Code of Civil Procedure section 426.50 must be determined in light of and in conformity with the liberality conferred upon the trial courts by the section....” (*Foot’s Transfer & Storage Co. v. Superior Court* (1980) 114 Cal.App.3d 897, 902.) “[D]elay only may constitute the requisite bad faith to preclude the granting of the request to file a cross-complaint when it appears that a delayed cross-complaint, if allowed, would work a substantial injustice to the opposing party and would prejudice that party’s position in some way.” (*Id.* at 903.)

“The reason for allowing cross-complaints is to have a complete determination of a controversy among the parties in one action, thus avoiding circuity of action and duplication of time and effort.” (*City of Hanford v. Superior Court* (1989) 208 Cal.App.3d 580, 587–588 [citation omitted].)

III. DISCUSSION

Defendants attempted a meet and confer with Plaintiff’s counsel but no stipulation could be reached. Plaintiff opposes Defendant’s motion on the grounds that there has been an unreasonable delay of several months after the Answer was filed and that the Defendants have acted in bad faith. In Reply, Defendants assert that their newly substituted attorney came on board in August of 2024 and, after reviewing the files, determined that a cross-complaint was needed.

The proposed cross-complaint seeks to assert claims against Plaintiff. These claims include breaches of duties, conversion, trespass, and assault and battery. The Court agrees that these cross-claims arise out of the same transaction, occurrence, or series

of transactions or occurrences as the causes of action alleged in the Complaint. Plaintiff's complaint revolves around the alleged racial incident, the accusation regarding the notebook, the assault, and her subsequent termination.

The proposed cross-complaint is compulsory and accordingly, leave to file must be granted unless there is substantial evidence of bad faith by Defendants in bringing the Motion. The Court does not find substantial evidence of bad faith. Defendants' counsel contends that the Motion was brought in good faith, and brought within a reasonable time after counsel was brought into this matter and had a chance to review the case in detail. No trial date has been set in this matter and there is no evidence that Defendants are acting without good faith. The Court is not called upon, at this time, to consider the merits of Defendants' cross-complaint.

The liberality principles applicable to Code of Civil Procedure section 426.50 require a strong showing of bad faith, and the Court does not find that there has been any undue delay by Defendants in seeking to file the proposed cross-complaint such as to result in a "substantial injustice" or prejudice to Plaintiffs. There is no trial scheduled and there is no persuasive argument that Plaintiff will be prejudiced by allowing the filing.

However, the Plaintiff's objections to the filing were colorable given the delay after the filing of the answer before seeking leave. Accordingly, the Court denies Defendants' motion for costs and fees related to bringing their motion for leave.

Accordingly, for all the foregoing reasons, the Motion for **leave** is **GRANTED**; the motion for **costs and fees** is **DENIED**. Defendants must separately file and serve their Cross-Complaint within five (5) court days.

The Clerk shall provide notice of the Ruling forthwith. No further formal Order is required.

HAMPTON V EBMUD, et al.

22CV46329

DEFENDANT URBAN PARK'S MOTION FOR LEAVE TO FILE RENEWED MOTION FOR SUMMARY JUDGMENT

This matter involves personal injuries sustained by Plaintiff Maxwell Hampton ("Plaintiff") while swimming in Lake Comanche. On August 18, 2023, the Court denied Defendant Urban Park (Defendant)'s motion for summary judgment/adjudication. Now before the Court is Defendant's motion for leave to file renewed motion for summary judgment.

The motion does not comply with Local Rule 3.3.7. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

3.3.7 Tentative Rulings (Repealed Eff 7/1/06, As amended 1/1/18) All parties appearing on the Law and Motion calendar shall utilize the tentative ruling system. Tentative Rulings are available by 2:00 p.m. on the court day preceding the scheduled hearing and can be accessed either through the court's website or by telephoning 209-754-6285. The tentative ruling shall become the ruling of the court, unless a party desiring to be heard so advises the Court no later than 4:00 p.m. on the court day preceding the hearing including advising that all other sides have been notified of the intention to appear by calling 209-754-6285. Where appearance has been requested or invited by the Court, all argument and evidence is limited pursuant to Local Rule 3.3. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

Pursuant to Local Rule 3.3.7, the Court will make a tentative ruling on the merits of this matter by 2:00 p.m. the court day before the hearing. The complete text of the tentative ruling may be accessed on the Court's website or by calling 209-754-6285 and listening to the recorded tentative ruling. If you do not call all other parties and the Court by 4:00 p.m. the court day preceding the hearing, no hearing will be held and the tentative ruling shall become the ruling of the court [emphasis in original.]

Failure to include this language in the notice may be a basis for the Court to